Theory case · Topic 3 · 2 points · 15 min

C22 — Talon Avionics: pay a dividend or keep the profit?

> *Talon Avionics S.A. earned a profit of 800,000 m.u. in 2025. Its retired founding shareholders, who live on the dividends, ask the board to distribute 600,000 m.u. The CEO wants to distribute only 160,000 m.u. and keep the rest to develop a new radar altimeter next year; otherwise she would have to ask a bank for a loan or issue new shares, which the founders dislike because they would lose part of their control.*

Part (a) · 0.75 points

Compute the pay-out and self-financing ratios of each proposal

Proposal	Dividends	Retained	Pay-out	Self-financing
Founders	600,000	200,000	$600{,}000/800{,}000 = 75\%$	$200{,}000/800{,}000 = 25\%$
CEO	160,000	640,000	$160{,}000/800{,}000 = 20\%$	$640{,}000/800{,}000 = 80\%$

KEY POINTS

- Founders: pay-out 75%, self-financing 25%.
- CEO: pay-out 20%, self-financing 80%.

Part (b) · 1.25 points

Explain the advantages and drawbacks of self-financing compared with a bank loan or a rights issue, and give your recommendation

Self-financing (retained earnings) is internal equity generated by the company's normal activity [Slide 23]. It does not have to be repaid, carries no **explicit** cost and brings in no new owners, so the founders keep their control; its cost is **implicit**: the shareholders give up dividends today (an opportunity cost, [Slide 37]).

The alternatives have other drawbacks: a **bank loan** carries an explicit cost (interest), must be repaid, and raises leverage and risk [Slides 31, 36]; a **rights issue** need not be repaid but brings in new shareholders who share future dividends [Slides 25-26] and voting power (extension).

Recommendation: since paying dividends is not compulsory [Slide 26] and the founders want to keep control, the CEO's high self-financing is the way to fund the project that needs no repayment, carries no explicit cost and keeps control in their hands. A compromise (for example a 30–40% pay-out) can still meet part of the founders' income needs if the project does not require all 640,000 m.u. (a suggestion beyond the course).

KEY POINTS

- Self-financing: internal equity generated by the activity; no repayment, no explicit cost, no new owners; but it has an opportunity cost for shareholders and depends on profits.
- Loan: explicit cost (interest), must be repaid, increases leverage and risk.
- Rights issue: no repayment, but new shareholders dilute control.
- Dividends are not compulsory; a balanced pay-out may be agreed.